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GENERAL STUDIES III

Goods and Services Tax (GST) — India's Tax Reform

Indian Economy

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GS3

Goods and Services Tax (GST) — India's Tax Reform

Indian Economy

What Is GST?

GST is a **comprehensive, multi-stage, destination-based indirect tax** levied on every value addition in the supply chain. It replaced multiple cascading taxes (excise duty, service tax, VAT, CST, octroi, entry tax, luxury tax, etc.) with a single unified tax.

> **"One Nation, One Tax, One Market"**

FEATURE	DETAIL
Launched	**1 July 2017** (midnight session of Parliament)
Constitutional basis	**101st Constitutional Amendment Act, 2016** (inserted Article 246A, 269A, 279A)
Replaces	Central Excise, Service Tax, VAT, CST, Octroi, Entry Tax, Purchase Tax, Luxury Tax, Entertainment Tax, and others
Does NOT cover	Petroleum products (crude oil, natural gas, ATF, petrol, diesel), alcoholic liquor for human consumption, electricity

> **Key distinction:** Petroleum and alcohol are excluded from GST for fundamentally different reasons. **Alcohol** is excluded by the **Constitution itself** (Article 246A(1) — states retain exclusive power). **Petroleum products** are technically within GST's scope but the GST Council has not yet notified a date for their inclusion — this is a political decision, not a constitutional bar. So petroleum CAN be brought under GST by Council recommendation; alcohol CANNOT without a Constitutional Amendment. This distinction is a Prelims trap.

Constitutional Framework

Key Articles Inserted by 101st Amendment

ARTICLE	PROVISION
246A	Both Parliament and State Legislatures have power to make laws on GST
269A	IGST on inter-state supply — levied and collected by Centre; shared with consuming state
279A	Establishment of the **GST Council**

Seventh Schedule	Entry 84 of Union List and Entry 54 of State List amended

GST Council (Article 279A)

FEATURE	DETAIL
Nature	Constitutional body; joint forum of Centre and States
Chairperson	Union Finance Minister
Members	Union Minister of State for Finance + Finance Minister of each State/UT with legislature
Voting	Centre has **1/3rd** weightage; States collectively have **2/3rd** weightage
Quorum	50% of total members
Decision	By **3/4th majority** of weighted votes

Exam Tip: The GST Council's voting design ensures neither Centre nor States can unilaterally push through decisions. Centre has 1/3rd votes, so it CANNOT reach 3/4th alone. States collectively have 2/3rd, which is also less than 3/4th. This forces consensus — a deliberate cooperative federalism feature. But after the **Mohit Minerals (2022)** ruling, even this consensus is advisory, not binding. For Mains, connect this to the broader Centre-State fiscal autonomy debate. | **Recommendations** | On GST rates, exemptions, model laws, threshold limits, dispute resolution |

Union of India v. Mohit Minerals (2022): The Supreme Court held that GST Council's recommendations are **not binding** on Centre or States — they are persuasive. This preserves cooperative federalism.

GST Structure

Types of GST

TYPE	LEVIED BY	ON
CGST (Central GST)	Central Government	Intra-state supply
SGST (State GST)	State Government	Intra-state supply
IGST (Integrated GST)	Central Government	Inter-state supply and imports
UTGST (UT GST)	Union Territory	Intra-state supply within UTs without legislature

Example: A Rs. 100 product sold within Maharashtra at 18% GST = 9% CGST (to Centre) + 9% SGST (to Maharashtra). If sold from Maharashtra to Gujarat = 18% IGST (collected by Centre, consuming state's share transferred to Gujarat).

GST Rate Slabs

0%	Essential food items (rice, wheat, milk, fresh vegetables), healthcare, education
5%	Packaged food items, transport services, small restaurants
12%	Processed food, business class air tickets, apparel above Rs. 1,000
18%	Standard rate — most goods and services (electronics, financial services, restaurants in hotels)
28%	Luxury and demerit goods (cars, AC, aerated drinks, tobacco, cement) + Compensation Cess

GST 2.0 REFORMS (56TH GST COUNCIL, 3 SEPTEMBER 2025; EFFECTIVE 22 SEPTEMBER 2025)

Major simplification — the 12% and 28% slabs were eliminated. The new structure has **3 effective tax rates** (plus exempt):

NEW RATE	COVERAGE
0%	Essentials — unpackaged food, fresh produce, milk, education, health services
5%	Merit goods — packaged food, processed food (99% of old 12% slab moved here), transport
18%	Standard rate — most goods and services (90% of old 28% slab moved here); electronics, ACs, TVs, cement moved down from 28%
40%	Demerit/luxury goods — luxury vehicles, aerated drinks, tobacco, gambling

Other key reforms: life and health **insurance exempted** from GST; automated risk-based refund system (90% provisional refund for exporters from 1 November 2025); **GSTAT** (GST Appellate Tribunal) operationalised.

Input Tax Credit (ITC)

The backbone of GST — eliminates cascading (tax-on-tax) effect.

- **ITC** allows a business to claim credit for GST paid on inputs (raw materials, services) against the GST collected on output (sales)
- Only available for **registered taxable persons**
- Conditions: Must have a valid tax invoice; goods/services must be used for business purposes; supplier must have filed returns
- **Inverted duty structure** — when input tax rate > output tax rate, taxpayer can claim refund

> **Common Mistake:** Aspirants assume GST completely eliminated cascading. It did not — since petroleum, alcohol, and electricity are outside GST, businesses using these as inputs (e.g., transport companies buying diesel, restaurants buying liquor) CANNOT claim ITC on them. This creates a "broken chain" in the credit mechanism, effectively reintroducing cascading for these inputs. This is one of the strongest arguments for including petroleum under GST.

GST Compensation Cess

- **Base year:** 2015–16 revenue with **14% annual growth guaranteed**
- **Levied on:** Luxury and sin goods (tobacco, aerated drinks, motor vehicles, coal)
- **Issue:** Centre borrowed Rs. 2.69 lakh crore on behalf of states during COVID; cess continues to repay this

GST Registration and Compliance

FEATURE	DETAIL
Threshold	Rs. 40 lakh turnover (goods); Rs. 20 lakh (services); Rs. 20 lakh / Rs. 10 lakh for special category states
GSTIN	15-digit Goods and Services Tax Identification Number
Returns	GSTR-1 (outward supply), GSTR-3B (summary return), GSTR-9 (annual)
Portal	gstn.org / gst.gov.in
E-invoicing	Mandatory for businesses with turnover > Rs. 5 crore
Composition Scheme	For small taxpayers (turnover < Rs. 1.5 crore) — pay tax at flat rate (1–6%), no ITC

Taxes Subsumed Under GST

Central Taxes Subsumed

- Central Excise Duty
- Additional Duties of Excise
- Service Tax
- Additional Customs Duty (CVD)
- Special Additional Duty of Customs (SAD)
- Central surcharges and cesses related to supply of goods and services

State Taxes Subsumed

- State VAT
- Central Sales Tax (CST)
- Purchase Tax
- Luxury Tax
- Entry Tax / Octroi
- Entertainment Tax (except those levied by local bodies)
- Taxes on advertisements, lotteries, betting, gambling

Impact of GST

- **Reduced cascading** — ITC mechanism ensures tax only on value addition
- **Improved compliance** — digital trail through GSTN
- **Revenue buoyancy** — GST collections crossed Rs. 2 lakh crore/month in FY26
- **Formalisation** — more businesses brought into the tax net
- **Consumer benefit** — lower prices for many goods due to eliminated cascading

Challenges

- **Complexity for small businesses** — multiple returns, technology adoption
- **Petroleum exclusion** — biggest revenue item still outside GST
- **Compensation cess extension** — created fiscal strain
- **Rate rationalisation** — frequent changes create uncertainty
- **Inverted duty structure** — refund delays for exporters and certain sectors

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Important for UPSC

Prelims Focus

- GST launched on 1 July 2017; 101st Amendment; Article 279A (GST Council)
- GST Council: FM is Chair; Centre 1/3rd vote, States 2/3rd; decisions by 3/4th majority
- Types: CGST, SGST, IGST, UTGST
- Items outside GST: petroleum, alcohol, electricity
- GST 2.0 (2025): simplified to 0%, 5%, 18%, 40%
- Compensation Cess: 5-year guarantee at 14% growth

Mains GS-3 Dimensions

- GST as a tool for cooperative federalism — has it strengthened or weakened state autonomy?
- Why should petroleum be brought under GST? Arguments for and against
- Impact of GST on the informal sector and MSMEs
- GST 2.0 rate rationalisation — is simplification sufficient?
- Mohit Minerals judgment (2022) — implications for Centre-State fiscal relations

Interview Angles

- "Has GST achieved 'One Nation, One Tax'?"
- "Why are some states reluctant about GST?"
- "How would you bring petroleum under GST?"

Previous Year Questions (PYQs)

Prelims

2. It will drastically reduce the 'Current Account Deficit' of India and will enable it to increase its foreign exchange reserves.
3. It will enormously increase the growth and size of economy of India and will enable it to overtake China in the near future. (a) 1 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3 **Answer:** (a)

Q. Consider the following items: (CSE Prelims 2018)

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material Which of the above items is/are exempted under GST (Goods and Services Tax)? (a) 1 only (b) 2 and 3 only (c) 1, 2 and 4 only (d) 1, 2, 3 and 4 **Answer:** (c)

Q. Which of the following statements is/are correct regarding the Monetary Policy Committee (MPC)? (CSE Prelims 2017)

1. It decides the RBI's benchmark interest rate.
2. It is a 12-member body including the Governor of RBI and is reconstituted every year.
3. It functions under the Chairmanship of the Union Finance Minister. (a) 1 only (b) 1 and 2 only (c) 3 only (d) 2 and 3 only **Answer:** (a)

Mains

Q. Discuss the rationale for introducing Goods and Services Tax in India. Bring out critically the reasons for the delay in roll out for its regime. (CSE Mains 2013, GS Paper 3, 15 marks)

Q. Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017. (CSE Mains 2019, GS Paper 3, 10 marks)

Q. Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions? (CSE Mains 2020, GS Paper 3, 15 marks)

Current Affairs Connect

Link these static concepts with live developments:

TOPIC	WHERE TO FOLLOW	WHY IT MATTERS
GST Council meeting decisions	Ujiyari — Economy News	Rate changes, exemptions, new rules — each meeting is Prelims-worthy
GST revenue collection milestones	Ujiyari — Daily Updates	Monthly GST collection figures cross Rs. 2 lakh crore — know the trend
Petroleum under GST debate	Ujiyari — Editorials	Recurring Mains question — states resist losing petroleum tax autonomy

Exam tip: After every GST Council meeting, note key rate changes and new items included/excluded. Read Ujiyari's economy coverage — GST Council decisions are the single most asked economy current affairs

Sources: GST Council, 101st Amendment — PRS India, PIB — Economic Survey 2025–26, Mohit Minerals judgment — SCI

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